

SiyaBusa ERP

INVESTOR & PARTNER DOCUMENTATION

PHASED
INVESTMENT
PROPOSAL

MILESTONE-BASED SEED DEPLOYMENT | APRIL 2026

COMPANY

Masaphokati Technologies (Pty) Ltd

SEED RAISE & EQUITY

R2,000,000 — 16.67%

Pre-money valuation: R10,000,000

CLASSIFICATION

Strictly Confidential

R700,000

PHASE 1 — LAUNCH

Months 1-4 · Released immediately

R700,000

PHASE 2 — SCALE

Months 5-9 · Unlocked on milestones

R600,000

PHASE 3 — ACCELERATE

Months 10-12 · Unlocked on milestones

WE RULE. WE GOVERN. WE EMPOWER.

PURPOSE OF THIS DOCUMENT

This document presents a detailed, phased investment proposal for SiyaBusa ERP, the flagship product of Masaphokati Technologies (Pty) Ltd. It is intended for prospective investors considering a seed-stage equity position in the company.

Background

Following discussions with prospective investors, it became clear that a straightforward breakdown of how funds will be used — and when — would serve both parties better than a single lump-sum deployment. This document is the result of that feedback.

A clearer breakdown of the use of funds has been prepared to demonstrate transparency and allow for meaningful accountability at every stage. Rather than requesting the full R2,000,000 upfront, we have adopted a phased funding approach: the investor commits the total amount, but capital is released in three tranches, each unlocked only when agreed milestones are met and verified through monthly progress reports and board sign-off.

The first tranche of R700,000 covers the launch phase — enough to put the commercial engine in motion without deploying more capital than the business needs at that stage. Sometimes a new business does not need all the money at once. What it needs is the right amount at the right time, tied to real progress. That is the principle behind this proposal.

SiyaBusa ERP is a fully built, production-ready cloud ERP system — deployed on Digital Ocean, with native South African compliance (SARS, BBBEE, POPIA, BCEA). The product includes its own built-in CRM, sales pipeline, and client management tools, which means we do not need to spend on third-party CRM or sales software. The technology risk is zero. What this investment buys is **customers and commercial momentum**.

THE PHASED INVESTMENT RATIONALE

Why Phase the Investment?

Phased funding creates accountability at every stage. Capital is released only when milestones are **demonstrated**, not promised. The business builds itself — revenue from Month 4 funds recurring costs, and the seed capital is an accelerant, not life support.

For the Investor

- Capital released only when milestones are verified
- Phase 1 (R700K) proves the model before R1.3M more is committed
- Monthly 1-page progress reports — full pipeline transparency
- If Phase 1 underperforms, Phase 2 is restructured before deployment
- Board observer seat — active visibility, not passive hope

For the Business

- Forces disciplined execution — every rand must earn the next tranche
- Sales consulting model: accountability without HR risk
- Company vehicle owned outright — capital asset, no monthly lease drain
- Business becomes self-funding from Month 9 (EBITDA positive)
- Seed capital is the accelerant; revenue is the engine

Core Strategic Choices

Decision	Traditional Approach	Our Approach
Sales execution	Hire 2 in-house BDEs on permanent contracts	Specialist B2B sales consulting firm — retainer + success fee, full control via SLA
Capital release	Lump sum upfront — deploy over 12 months	3 tranches tied to measurable milestones
Field mobility	Staff use personal vehicles / Uber	Company vehicle purchased outright — capital asset, founders + executive use
Market presence	Digital only — cold calls and LinkedIn	Full exhibition programme — branded gazebo, uniforms, merchandise, event stands
Investor reporting	Quarterly board packs	Monthly report + milestone sign-off before each tranche releases

GOVERNANCE: BOARD OF ADVISORS & DIRECTORS

Governance from Day 1. The advisors listed below have been involved throughout the development of the project — contributing to strategy, introductions, financial oversight, and product positioning on an advisory basis. To date, the business has not been in a position to fund formal board fees, and their participation has been voluntary. At this stage, none of the directors are fully involved in day-to-day operations. Once investment is secured and disbursements commence, formal director appointments will be made with appropriate board fees and governance obligations. Full transparency and accountability will be established from the first tranche.

Board of Directors & Advisors

Dr Simanga Alex Tsela — Board Advisor & Non-Executive Director

Dr Tsela is a nuclear scientist, corporate executive, and entrepreneur with over 33 years in the nuclear sector and 23 years at C-suite level. He holds a Ph.D. in Applied Nuclear Physics (University of the Witwatersrand), an MSc in Nuclear Physics (University of Sussex, England), and an MBA in Strategy (University of Pretoria).

He currently serves as CEO and Executive Chairman of Mzesi Holdings (Pty) Ltd, which has operated as the Technical Support Organisation (TSO) for South Africa’s National Nuclear Regulator since 2010. He is a sitting Board Member of the National Research Foundation (NRF) of South Africa, and represents the country on the OECD Generation IV International Forum. His prior executive roles include CEO (Acting) of the Pebble Bed Modular Reactor Company (a State-Owned Entity), CEO (Interim) of the National Nuclear Regulator, CEO of ARECSA Human Capital (a joint venture between Areva of France and Necsa), and consultant to the International Atomic Energy Agency (IAEA) of the United Nations in Vienna. He served as a non-resident Ambassador to the United Nations in Vienna under ECOSOC accreditation, and is the 2012 recipient of the ITWLA Prestigious Leadership Award — an honour previously conferred on President Nelson Mandela and Mother Teresa.

Mrs Motlapele Molefi — Board Advisor & Non-Executive Director

Mrs Molefi is Co-Founder and Executive Director of Modi Mining (Pty) Ltd, a mining services company she has built since 2011 from a bottom-tier contract mining provider into a reputable operator across the primary and secondary mining sectors. Modi Mining operates from its headquarters in Rustenburg (North West) and a regional office in Middelburg (Mpumalanga), delivering contract mining services, civil works, and the manufacturing of specialised supplies for the mining industry.

She brings distinct leadership and entrepreneurial capability developed through years of building successful enterprises in consulting and advisory. Her direct experience scaling an operationally intensive, compliance-heavy business provides the board with practical commercial insight, while her networks across mining, construction, and industrial sectors create a direct pipeline for enterprise ERP clients in verticals SiyaBusa already serves.

Mrs Tumie Mosenohi — Financial Advisor & Director

Mrs Mosenohi is the current Chief Financial Officer of Mzesi Energy (Pty) Ltd, where she oversees financial management, regulatory reporting, and corporate governance for a company that serves as the Technical Support Organisation for South Africa’s nuclear regulator. She also operates her own financial consulting practice, providing accounting, compliance, and advisory services to SMEs and corporates.

As Financial Advisor to SiyaBusa ERP, she is responsible for preparing monthly investor reports, independently verifying financial milestones before each funding tranche is released, and ensuring all financial controls, governance structures, and reporting standards meet institutional investor expectations. Her dual role — corporate CFO and independent consultant — gives her the rigour an investor requires and the practical flexibility a growth-stage business needs.

Investor Nominee — Observer Director

The investor is encouraged to appoint a representative as an observer director. This seat carries full visibility rights: monthly management accounts, board meeting attendance, milestone review participation, and sign-off authority on tranche releases. There are no management obligations — transparency is the accountability mechanism.

Governance Structure & Investor Rights

Right / Obligation	Detail
Observer Director Seat	Investor may appoint one representative to attend all board meetings, receive all management accounts, and participate in milestone sign-off reviews. No veto power required — transparency is the mechanism.
Monthly Progress Report	1-page report delivered by the 5th of each month: MRR, clients signed, pipeline count, demos done, EBITDA vs target, cash balance. Prepared by the CEO (Mr Sibusiso Mavuso) and signed off by Mrs Tumie Mosenohi as Financial Advisor and Director.
Milestone Sign-Off	Each phase tranche is released only after the investor and Financial Advisor confirm milestone criteria are met. This is a written confirmation — not discretionary.
Quarterly Board Meetings	Full board (all 4 members + investor observer) meets quarterly. Agenda: financial performance, pipeline, strategy, risks, and next-phase outlook.
Information Rights	Investor receives: monthly management accounts, quarterly board packs, annual audited statements (year 2 onward), and all material contracts signed during the period.
Equity & Share Structure	The company has 1 billion authorised shares. The current seed raise of R2,000,000 for 16.67% equity is based on a pre-money valuation of R10,000,000. We acknowledge the investor’s feedback that this stake may appear modest relative to the capital committed. The company is open to re-issuing and re-deploying additional shares to better reflect the investor’s contribution. With the company’s long-term plan to list on the JSE AltX, early-stage investors will be appropriately protected and rewarded. We propose that the final equity structure be agreed through direct discussion, with flexibility on both sides,

	to ensure alignment before any commitment is finalised.
Anti-Dilution	No further equity issuance without investor consent until the full R2M is deployed and milestones are achieved. Early investors will receive preferential protections ahead of any future funding rounds or listing.

Why this matters: Dr Tsela brings three decades of C-suite governance, NRF board membership, and OECD-level strategic authority. Mrs Molefi brings hands-on experience building Modi Mining from start-up to multi-site mining operator. Mrs Mosenohi, as sitting CFO of Mzesi Energy, ensures every financial metric is independently verified before capital is released. Combined with the investor's observer seat, every major decision has four independent perspectives before it is executed.

SALES EXECUTION: CONSULTING FIRM VS. DIRECT HIRE

The case for a sales consulting firm: We retain full commercial control — pricing, contracts, IP, and client relationships all stay with Masaphokati. The firm provides experienced B2B SaaS salespeople under a performance SLA with **no PAYE, UIF, SDL, or permanent headcount risk**. Commission is paid from generated revenue — not from the seed budget.

Criterion	Direct Hire (2× Permanent BDE)	Sales Consulting Firm Recommended
Monthly cost from seed	R50,000/month — fixed regardless of results	R35,000-R40,000/month retainer — scope-linked
Ramp-up time	3-6 months to recruit, onboard, train	2-4 weeks — firm has trained resources ready
Terminate if underperforming?	Difficult — CCMA, LRA 4-week notice, retrenchment risk	30-day clause — no legal complexity
Client relationship ownership	Employee owns relationships — key-person risk	All CRM, contracts, IP owned by Masaphokati
Commission	OTE on top of salary — from seed budget	6-8% success fee — paid from revenue, not seed
HR obligations	PAYE, UIF (1%), SDL (1%), COIDA, leave provision	None — B2B services contract
Use of company vehicle	Yes — employee benefit	No — vehicle is for founders & executive use only
12-month budget cost	R600,000 fixed payroll	R460,000 retainer + success fees from revenue

Consulting Firm SLA — Binding Monthly Targets

Phase 1 SLA (Months 1-4)		Phase 2 SLA (Months 5-9)	
Qualified demos booked	20 / month minimum	Qualified demos booked	30 / month minimum
Proposals submitted	10 / month minimum	Proposals submitted	15 / month minimum
Contracts signed	3 / month minimum	Contracts signed	4-5 / month minimum
CRM entries	100% of prospects logged	Referral pipeline	15% of leads from referrals
Pipeline report	Every Friday 17:00	Cold outreach (calls + emails)	60 / week minimum per rep
Cold outreach (calls + emails)	50 / week minimum per rep	Monthly investor report	By 5th of each month
Non-performance consequence	30-day written review — contract may be terminated	Non-performance consequence	30-day review — firm replaced if targets missed x2

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PHASE 1 — LAUNCH & PROVE

Months 1–4 · Released immediately on investment agreement · First 120 paying users & vehicle acquisition

R700,000

Objective: Deploy the commercial engine, purchase the company vehicle, establish brand and event presence, and onboard the first 120 paying users. Phase 1 includes all once-off capital items (vehicle, branding, merchandise). Recurring costs from Month 5 onward are significantly lower. End of Month 4: milestone report to investor before Phase 2 is released.

Budget Line	Detail	Type	Amount
Sales Consulting Firm Priority 1	B2B SaaS specialist — 4 months retainer. 2 dedicated reps, CRM management, weekly pipeline reporting, SLA accountability.	4 × R35,000	R140,000
Company Vehicle Capital Asset	Outright purchase — Toyota Corolla Quest 1.8 or VW Polo Vivo (2024 model, dealer demo). For founders and executive use. Client visits, investor meetings, event logistics. Not for consulting firm use. Full details: Page 7.	Once-off purchase	R185,000
Vehicle Branding & Insurance	Full vinyl wrap (SiyaBusa logo, colours, website): R8,000. Comprehensive business vehicle insurance 4 months × R1,800 = R7,200.	Once-off + monthly	R15,200
Branding & Identity Once-Off	Brand guidelines finalisation, professional pitch deck print, business cards (500×), company profile booklet, letterheads.	Once-off	R28,000
Exhibition Merchandise Package Once-Off	Full team uniform & event kit for 5 members — detailed breakdown below.	Once-off	R72,600
Digital Marketing	Google Ads R8K + LinkedIn Ads R5K + Social Media R2K + ActiveCampaign R0.9K = R15,900/month.	4 × R15,900	R63,600
Customer Success Specialist	Internal hire — Month 1 start. Handles user onboarding, training, adoption tracking. Ensures first users become references.	4 × R18,000	R72,000
Sales Training Once-Off	2-day consultative selling masterclass — Sales Guru SA / Sandler. For CS Specialist + attending firm reps.	Once-off	R15,000
Phase 1 Contingency	Reserve for early-stage opportunities, supplier renegotiation, or unexpected costs.	Reserve	R108,600
Phase 1 Total			R700,000

Exhibition Merchandise Package Breakdown — 5 Team Members

Item	Specification	Qty	Unit Cost	Total
T-Shirt — Variation 1 Premium Polo (formal events)	Embroidered SiyaBusa logo, navy + gold, 5 sizes S-XL	5	R220	R1,100
T-Shirt — Variation 2 Golf Shirt (general use)	Screen-printed logo, breathable fabric, 2-tone navy/white	5	R180	R900
T-Shirt — Variation 3 Casual Cotton Tee (community events)	Bold front print, white on navy, "SiyaBusa — We Govern. We Empower."	5	R130	R650
Branding setup fee Screen print screens + embroidery digitising	One-time setup for all t-shirt variations	1	—	R2,400
Bomber / Bomba Jacket	Quality MA-1 style bomber, embroidered chest logo + back print, navy with gold trim, sizes S-XL	5	R650	R3,250
Formal Business Shirt	Long-sleeve collared shirt, embroidered logo, navy/white, client-facing meetings & investor days	5	R380	R1,900
Branded Gazebo (3×3m)	Pop-up gazebo with full dye-sublimation print — SiyaBusa branding on all 4 walls + roof. Carry bag included.	1	—	R5,800
Pull-Up / Roller Banners	850×2000mm premium roller banner, full colour, aluminium cassette, carry bag. Different designs (product features, testimonial, CTA).	4	R1,400	R5,600
Branded Cups / Keep Cups	400ml stainless steel keep cup with SiyaBusa branding. Giveaway at stands — creates ongoing brand impressions.	100	R48	R4,800
Event Stand Booking & Registration	Upfront deposits and registration fees for 4 key	4 events	—	R40,000

	industry events (SME Indaba, Business Expo, Manufacturing Indaba, Accountex SA). Stand hire, electricity, Wi-Fi at venue.			
Event Operational Supplies	Branded tablecloths, literature stands, iPad mount for demos, extension cables, cable ties, banner lights.	—	—	R6,200
Exhibition Merchandise Package Total				R72,600

Phase 1 → Phase 2 Unlock Milestones (end of Month 4):

- ✓ Minimum **120 active paying users** (contracts executed, first invoices issued)
- ✓ **MRR ≥ R50,000** (120 users at R399 = R47,880 + growth buffer)
- ✓ Monthly investor reports submitted for Months 2, 3, and 4
- ✓ Consulting firm SLA compliance — minimum 20 demos/month achieved
- ✓ CRM pipeline shows minimum 20 qualified prospects ready for Phase 2 pursuit
- ✓ Board confirms milestone sign-off in writing (Mrs Mosenohi financial confirmation + investor observer)

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PHASE 2 — SCALE & BREAK-EVEN

Months 5–9 · Released after Phase 1 sign-off · Target: 360 users, EBITDA positive

R700,000

Objective: The model is proven. Expand the consulting firm's scope, execute the event programme, add support headcount, and accelerate digital reach. By end of Month 9, the business is EBITDA positive — revenue covers all operating costs. Phase 2 bridges proof-of-concept to a self-funding business.

Budget Line	Detail	Type	Amount
Sales Consulting Firm Expanded	Expanded scope — 3 reps, Gauteng + Western Cape + KZN. Higher demo volume SLA (30 demos/month).	5 × R40,000	R200,000
Technical Support Specialist	Hire Month 5. Tier 1/2 helpdesk, knowledge base, issue resolution. CS Specialist cannot manage alone beyond 200 users.	5 × R18,000	R90,000
Customer Success Specialist	Ongoing (Months 5–9).	5 × R18,000	R90,000
Events & Trade Shows	SME Indaba JHB (R29.5K), Cape Town Business Expo (R23K), Manufacturing Indaba (R24K), Accountex SA (R25.5K), KZN Business Show (R29K). Stand costs, travel, logistics.	5 events	R131,000
Digital Marketing	Google + LinkedIn + Social + ActiveCampaign — scaled as ICP is validated from Phase 1 data.	5 × R18,250	R91,250
Vehicle Insurance	Ongoing comprehensive business vehicle insurance (5 months).	5 × R1,800	R9,000
Phase 2 Contingency	Reserve for scaling digital, additional event opportunities, or early Phase 3 initiatives.	Reserve	R88,750
Phase 2 Total			R700,000

- Phase 2 → Phase 3 Unlock Milestones (end of Month 9):
- ✓ Minimum **360 active paying users**
 - ✓ **MRR ≥ R120,000** (360 users at R399 = R143,640)
 - ✓ **EBITDA positive in at least one month** (gross profit exceeds all operating costs)
 - ✓ Consulting firm SLA — 30 demos/month achieved in Months 7–9
 - ✓ Monthly investor reports submitted for Months 5–9
 - ✓ Customer churn <3% per month across active base
 - ✓ Board + investor observer sign-off in writing

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PHASE 3 — ACCELERATE & SUSTAIN

Months 10–12 · Released after Phase 2 sign-off · Target: 660 users, ARR ≥ R3M

R600,000

Objective: By Month 10 the business covers its own costs from revenue. Phase 3 is pure acceleration — deeper market penetration, full team, Year 2 positioning. The business graduates from startup to self-sustaining growth company. The large contingency in Phase 3 is intentionally preserved as the Year 2 launch reserve.

Budget Line	Detail	Type	Amount
Sales Consulting Firm Sustained	Retainer continues. By M12 we evaluate whether to transition to in-house BDE(s) based on 12 months of performance data.	3 × R40,000	R120,000
Marketing Coordinator	Hire Month 10 (or Month 7 if Phase 2 budget allows). LinkedIn content, case studies, email campaigns, event collateral.	3 × R17,000	R51,000
Support Staff (CS + Tech)	Both specialists ongoing (Months 10–12).	3 × R36,000	R108,000
Digital Marketing	Full digital, now informed by 9 months of conversion and keyword data.	3 × R18,250	R54,750
Events — Q4	Year-end SME expos, accountancy conferences, holiday client entertainment events.	3 events	R32,000
Vehicle Insurance	Ongoing (3 months).	3 × R1,800	R5,400
Training Programmes	Full team ERP certification, CRM advanced training, sales methodology upskill for consulting firm reps. Positions team for Year 2 enterprise targeting.	Once-off	R65,000
Phase 3 Contingency / Year 2 Reserve	Preserved for Year 2 launch: enterprise targeting, additional hiring, PR, industry awards, Series A preparation materials.	Reserve	R163,850
Phase 3 Total			R600,000

- Phase 3 Success Criteria (end of Month 12):
- ✓ Minimum **660 active paying users**
 - ✓ **MRR ≥ R263,000** (660 active users at R399)
 - ✓ **ARR ≥ R3,160,000** — 1.58× return on R2M investment
 - ✓ **EBITDA positive for minimum 4 consecutive months**
 - ✓ Gross margin ≥ 72%
 - ✓ Cash balance ≥ R1.3M (seed capital largely preserved)
 - ✓ Decision: transition consulting firm to in-house team for Year 2? Presented to board.

COMPANY VEHICLE — OUTRIGHT PURCHASE JUSTIFICATION

Why outright purchase beats an operating lease: An operating lease drains R8,500/month indefinitely with nothing to show. An outright purchase of R185,000 creates a **company asset on the balance sheet** — improving the company's net asset value for future funding rounds, fully deductible via SARS Section 11(e) wear-and-tear (20% per year), and eliminates all monthly lease obligations. This is the prudent commercial decision.

Vehicle Specification	
Recommended model	Toyota Corolla Quest 1.8 or VW Polo Vivo 1.4 Trendline (2024 dealer demo)
Purchase price	R185,000 (outright, one payment)
Structure	Company asset — registered to Masaphokati Technologies (Pty) Ltd
SARS deduction	Section 11(e) wear & tear: 20%/year = R37,000 Year 1 deduction
Insurance	R1,800/month — comprehensive, business use declared
Annual insurance cost	R21,600 (from phased budget)
Branding	Full vinyl wrap — logo, colours, siyabusaerp.co.za (R8,000)
Assigned to	Founders & executive team only
Consulting firm use	No — consulting firm uses their own transport
Lease alternative cost (12 months)	R8,500/month × 12 = R102,000 with zero ownership
Purchase advantage	R185,000 purchase vs R102,000+ lease AND you own the asset

Vehicle Use Cases — Founders Only

- Client site visits for **live ERP demonstrations** (iPad + laptop setup on-site)
- Trade show and expo logistics — transporting gazebo, banners, merchandise, equipment
- **Investor meetings** — professional arrival, not an Uber
- Board and advisor meetings
- New client onboarding visits — first 4-week implementation support
- Banking, legal, and CIPC appointments
- Networking events and chamber of commerce engagements

Asset vs. expense: At end of Year 1, the vehicle is worth ≈R140,000–R155,000 (used market). The company's balance sheet shows a R155K asset and zero lease liability. That same R185K in 12 monthly lease payments of R8,500 would leave nothing behind. Purchasing is the only sensible choice for a company building long-term value.

Lease vs. Purchase — 12-Month Comparison	
Operating lease (12 months)	R102,000 — zero asset value at end
O outright purchase	R185,000 — asset worth ~R150,000 at end
Net cost advantage of purchasing	R102,000 cost vs R35,000 net cost (R185K – R150K residual)

FULL 12-MONTH BUDGET SUMMARY — R2,000,000

#	Budget Category	Phase 1 (M1-4)	Phase 2 (M5-9)	Phase 3 (M10-12)	Total
1	Sales Consulting Firm	R140,000	R200,000	R120,000	R460,000
2	Company Vehicle (outright purchase)	R185,000	—	—	R185,000
3	Vehicle Branding & Insurance	R15,200	R9,000	R5,400	R29,600
4	Branding & Identity (once-off)	R28,000	—	—	R28,000
5	Exhibition Merchandise Package	R72,600	—	—	R72,600
6	Digital Marketing	R63,600	R91,250	R54,750	R209,600
7	Events & Trade Shows	R40,000	R131,000	R32,000	R203,000
8	Customer Success Specialist	R72,000	R90,000	R36,000	R198,000
9	Technical Support Specialist	—	R90,000	R36,000	R126,000
10	Marketing Coordinator	—	—	R51,000	R51,000
11	Sales Training	R15,000	—	R65,000	R80,000
12	Contingency / Year 2 Reserve	R108,600	R88,750	R163,850	R361,200
PHASE TOTAL		R700,000	R700,000	R600,000	R2,000,000

Expected Return at Each Phase Gate

Milestone	Phase 1 End (M4)	Phase 2 End (M9)	Phase 3 End (M12)
Active paying users	120+	360+	660+
MRR	R54,600+	R143,640+	R263,340+
ARR (run rate)	R655,200	R1,723,680	R3,160,080
EBITDA	Negative (planned burn)	Break-even achieved	+R96,000/month
Company vehicle	Purchased & branded	Operational asset	Balance sheet value ~R155K
Return multiple (ARR / capital deployed)	0.94× on R700K	1.23× on R1.4M	1.58× on full R2M

The investor's protection at every stage: Phase 1 deploys R700K and produces a business with R655K ARR, a branded company vehicle on the balance sheet, and a proven sales process. Before a single rand of Phase 2 is released, the board — including the investor's observer director and Mrs Mosenohi as Financial Advisor — signs off in writing that milestones are met. Capital always follows proof, not promises.

DISCLAIMER: All projections are forward-looking statements based on management assumptions as at April 2026. Actual results may differ materially. This document is for investor discussion only and does not constitute a prospectus or guarantee of future performance. Prepared by Masaphokati Technologies (Pty) Ltd. **Strictly confidential — not for distribution.**